Godfather Politicians and Organized Violence: The Good, the Bad, and the Bloody

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Abstract: We analyze the ironic breakdown of social order when good politicians replace flawed ones. A corrupt politician ("*Godfather*") may arbitrate otherwise violent conflicts peacefully for extralegal personal benefits, while eradicating such politicians leads to social unrest. Utilizing a unique natural experiment that systematically removed corrupt officials, a difference-in-differences test shows that organized violence surged by an additional 15% in cases where local officials were found colluding with organized criminals. The violence surge was not due to their successors' increased monitoring intensity, government failure, or gangster infightings, thus highlighting the institution design – not moral characters – that shapes politicians' behavior.

Keywords: Organized Crime, Violence, Corruption, Politician, Godfather

JEL Codes: P16, D73, D74, P48

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"Politics has no relation to morals."

Machiavelli (1513)

1. Introduction

The state exploits its monopolistic use of violence to maintain social order (Hobbes, 1651; Weber, 1919), safeguarding local peace and prosperity (North et al., 2013). In this process, virtuous politicians are considered desirable public servants compared to their greedy and corrupt counterparts (Montesquieu, 1748). Ironically, social order does not necessarily follow after virtuous politicians replace tainted ones. For instance, in Mexico, when opposition governor Ernesto Ruffo came to power in Baja California, removing corrupt officials from the state judicial police, he vowed to crack down on the drug cartels and restore security. However, Ruffo only witnessed a new wave of violence prompted by local cartel wars (Trejo and Ley, 2018). Similar patterns of violent reconfiguration following rectifying administrative changes recur around the globe, from post-Marcos Philippines (Richter, 1987) to post-Saddam Iraq (Fontan, 2008) and post-Gaddafi Libya (Moore, 2015). The prevalence thus calls into question the relationship between politicians' qualities and social order: does replacing corrupt politicians with good ones necessarily promote social order? If not, *why*? This paper examines these questions in the context of the dynamics of organized violence before and after the start of China's anti-corruption campaign in 2013, one of the country's largest campaigns to systematically remove corrupt politicians at all levels.

We argue that the key to answering these questions is to understand the conflict resolution process in an environment where no commitment is legally enforceable: a corrupt politician – whom we refer to as a *godfather* – can peacefully *arbitrate* otherwise violent disputes among organized criminals for extralegal personal benefits, while a good politician who does not participate in such illegal activities cannot. We first build a theoretical framework to show that an arbitration process can be incentive compatible and thus self-enforcing for all participants: corrupt politicians receive bribes and prevent pervasive local violence, whereas organized criminals gain access to peaceful arbitration and have fewer survival concerns under the patronage of local officials. Local peace and order are maintained as long as the bribe-taking,

conflict-arbitrating godfathers remain in office. However, when the arbitrators are removed, organized criminals must resolve their conflicts through their outside option: violence. Therefore, we predict an increase in local organized violent crimes after the arbitrating local godfathers are systematically removed, and more so in regions where local corruption and rent-seeking opportunities are rampant.

To test the prediction, we use a unique natural experiment – China's ongoing anti-corruption campaign, which provided systematic removal of corrupt officials. Since its inception in 2013, the campaign has operated on an unprecedented scale: an average of 228,000 officials were investigated under the campaign each year during the first three years of the campaign, a 70 percent increase compared to the number prior to the campaign, with most of these investigations taking place at the local level.[1] Meanwhile, we establish the link between corrupt politicians and organized criminals by tracking whether these politicians were found as arbitrators and protectors of local organized criminals in the indictments.

In this context, we construct a database of criminal cases in China. Comprehensive crime data are usually challenging to collect. However, the institutional background in China allows us to closely observe the changes in organized crime for two reasons. First, it is required by official regulations in China that all indictments should be published online.[2] Therefore, we collect all criminal cases from *China Judgments Online*, a government website that publishes official court documents.[3] Second, using prosecuted cases as proxies for actual crimes usually leads to serious selection problems. However, China's current judicial system responds to official corruption and organized crime by taking a double whammy against both the bribe-taker and the bribe-giver, ensuring that both will be prosecuted (Wedeman, 2013). The database contains a total of 456 organized crime cases in 277 counties from 2009 to 2017, 217 of which involve organized violence in 162 counties.[4] We track the collusion with local officials in the judicial documents to cross-compare them with the anti-corruption records, which allows us to use a difference-in-differences (DID) approach to identify the impact of removing corrupt

[1] Data are available from the annual reports of the Central Commission for Discipline Inspection. See: http://www.ccdi.gov.cn/xxgk/hyzl/.
[2] See the Press Release No. 48 in 2010 by the Supreme People's Court, and the Explanation No. 26 in 2013 and Explanation No. 19 in 2016, both by the Supreme People's Court.
[3] Criminal cases are defined by the Criminal Laws of People's Republic of China.
[4] Although there are more than 1,000 counties in China in total, organized crime does not exist in all of them, but only in 277 counties. A detailed description of our data collection process is provided in the Appendix.

officials on local violence. Specifically, our treatment group includes the corruption cases at the county level in which indicted local officials were found colluding with organized criminals, whereas our control group includes the corruption cases that were not. The treatment group is well-defined precisely because the strong will of the central government ensures almost no organized crime unprosecuted. We expect that large-scale removal of corrupt local officials should lead to an increase in organized violence after the anti-corruption campaign, and more so in the treatment group than in the control group.

Our baseline results show that organized violence indeed surges after corrupt officials are removed: incidents of organized violence increase by an additional 15% in the treatment group relative to the control group. A pre-trend analysis confirms that the treatment and control groups have similar levels of organized violence prior to the anti-corruption campaign, validating the DID strategy. Our identification assumption also depends on that the decisions to remove officials should not be influenced by other organized violence factors. We argue that the rapidity in removing corrupt officials – an important institutional feature of China's campaign – helps to address this issue: we show that the post-trend suggests that the post-campaign surge in organized violence was sharp in the short run but faded after three years. Thus, it is difficult to attribute such a clear-cut change in organized violence to other factors correlated with the presence and the dynamics of organized violence. Furthermore, the increase in violence remains significant when we measure the impact of the anti-corruption campaign differently, either by replacing the onset of the anti-corruption campaign with the number of direct superiors of the investigated officials, or with the detected collusion among colleagues. The increase in violence also remains significant when we account for the measurement error in the judicial documents, and when we control for additional socioeconomic factors such as local economic output and government expenditures.

Concerning regional heterogeneity, we use the share of indicted government officials in a county's total population as a proxy for the level of corruption across counties, a la Nie et al. (2019) and He and Peng (2022), and find higher increases in local violence in regions with more rampant corruption. In addition, we use the tax burden on local firms – which translates into greater opportunities for local officials to extract rents from firms (Frye and Shleifer, 1997; Piotroski et al., 2015) – as a proxy for local rent-seeking opportunities, and find higher surges

of local violence in regions with more rent-seeking opportunities. Both results are consistent with our theoretical framework.

We then consider three sets of alternative explanations for our baseline results. First and foremost, we show that the observed increase in violence correctly reflects an increase in actual violent incidents. In particular, the increase cannot be attributed to the increased monitoring intensity or muscle-flexing of newly arrived successors after the campaign, nor the cover-ups by corrupt officials prior to the campaign. Second, we show that the observed increase in violence cannot be attributed to changes in the effectiveness of governance: it is not the result of government failures that lead to widespread increases in all types of crime, including violent crime. Third, we rule out the possibility that the surge in violence is the result of conflicts among gangsters or the power struggles of senior politicians behind the scenes. In short, the arbitration story remains robust.

The policy implications of the paper are threefold. First, it shows that well-intentioned and well-executed policies in one governance objective – such as anti-corruption – may have unintended externalities in other areas – such as social stability. Thus, it calls for more comprehensive policy planning and evaluation when governance objectives are multifaceted. Second, it highlights the institutional design – rather than the moral characters of individual politicians – that shapes their political behaviors. Third, in the context of China, it rationalizes the nationwide *Special Criminal Syndicate Combat*, launched by the Party's Central Committee and the State Council in 2018, after five years of the anti-corruption campaign. The Combat was designed to eradicate local gangsters and violence, in which it was made clear that *"the crackdown upon organized crime shall be combined with corruption combat…*" (State Council, 2018).

This paper makes four contributions to the literature. First, we advance the social order literature pioneered by North (1990). While the rich existing literature has discussed the distortions of corruption (e.g., Shleifer and Vishny, 1993; Bardhan, 1997; Frye and Shleifer, 1997; Djankov et al., 2002; Choi and Thum, 2005; Fisman and Svensson, 2007; Hakkala et al., 2008; Canen and Wantchekon, 2022), which justifies anti-corruption initiatives,[5] this paper

[5] For instance, corrupt officials may redistribute resources for rent-seeking purposes, which can generate distortions in efficiency (Murphy et al., 1993; Djankov et al., 2002) and hinder economic development (Della and Vannucci, 1999; Mazzitelli,

highlights the other side of the story – the ironic role of corruption in shaping local stability: corrupt officials may maintain peace and order to preserve their personal interests.[6] To the best of our knowledge, our paper is the first to theoretically and empirically explore politicians' roles in arbitrating disputes among local outlaws. We provide an illustrative example of North et al.'s theory (2009, 2013) of how tainted politicians can maintain social order in an environment with incomplete institutions by arbitrating gang conflicts, in addition to catering to crime group interests (Pulejo and Querubin, 2023). In this regard, we echo theoretically with Acemoglu (2003) and Olson (2009) regarding the role of tainted rulers as stationary bandits to preserve social stability, and empirically with evidence from resource-rich countries such as the Democratic Republic of the Congo that armed groups protect local regions in exchange for rents (Sánchez De La Sierra, 2020). Compared with previous studies, we highlight that removing the morally tainted enforcers of order can undermine social order.

Second, we speak directly to studies of organized violence. A growing stream of literature has recently begun to highlight the influence of organized violence on local politics, including funding elections (Daniele and Dipoppa, 2017; De Feo and De Luca, 2017; Accardo et al., 2023), engaging in pre-election violence (Daxecker and Prins, 2016; Carreri and Dube, 2017; Alesina et al., 2018), and substituting for weak governments (Acemoglu et al., 2020). Few studies, however, have explored the other side of the coin – how political changes affect organized violence. Our paper is the first to validate local politicians' roles as third-party arbitrators,[7] while previous studies have analyzed *non-state* arbitrating powers, such as neighboring mafias or local tycoons (Anderson, 1995; Levitt and Venkatesh, 2000; Di Cataldo and Mastrorocco, 2022). In the discussion of institutional influence, the closest paper to ours is Dell (2015), which discusses the increase in rival trafficker violence in Mexico due to

2007). In some cases, rampant corruption erodes law and order of the entire society (Frye and Shleifer, 1997). This justifies the need for anti-corruption initiatives to rejuvenate the local community (Richter, 1987).

[6] Real-life cases of stationary bandits abound. For instance, cocaine traders and human traffickers in Guinea Bissau bribed the state and legislature to facilitate their business (Mazzitelli, 2007). Similarly, Sicilian mafias in the 1980s colluded with local politicians in exchange for protection (Della and Vannucci, 1999). In China, such bribe-taking officials are called "umbrellas" for local gangs: in the province of Hainan alone, more than 746 officials have been charged with umbrella-related activities since 2018. For more details, see: http://politics.people.com.cn/n1/2020/0821/c1001-31830916.html.

[7] Several previous studies touch on the relationship between mafias and the state. For instance, Barnes (2017) argues that collaborative relationships between local armed groups and the government are increasingly common. In addition to defining "confrontation" and "alliance" relationships between mafias and governments, Barnes describes how local governments can serve as arbitrators. Kugler (2005) found that more law enforcement leads to more corruption. Furthermore, Wedeman (2013) shows that local mafias may buy off local officials to evade illegal income.

infighting after the government cracked down on entrenched criminals. We complement this paper by pointing to the common violent reconfiguration, but for a different reason: the policy that eliminated the incumbent corrupt politicians also eliminated the arbitrators of conflict. We also complement the work of Fenizia and Saggio (2024), who argue that the dismissal of officials infiltrated by crime organizations serves as a powerful intervention to restore legitimacy and stimulate economic activity in regions under the dominance of organized crime. We add on their discussions by pointing to the possible consequence of such actions, i.e., the increase in local violence in the absence of arbitrators.

Third, this paper advances our understanding of the unintended consequences of well-intentioned policies and the subsequent remedies that may be required to address these effects. For instance, Chimeli and Soares (2017) discuss the impacts of a well-intentioned policy to eliminate illegal markets that lead to unexpected local violence; Che et al. (2019) discuss the potential for rampant corruption after the removal of criminal immunity for high-level leaders. In the context of anti-corruption campaigns, while many papers have documented the benefits of such campaigns, including increased local incomes (Wu and Zhu, 2011), created fairer and more effective business environments (Cao et al., 2018; Fang et al., 2018; Giannetti et al., 2021; Colonneli and Prem, 2022) and production environments (Xu et al., 2021; Colonneli et al., 2022), and improved judicial justice (Zhang, 2023), this paper points to an overlooked outcome after the eradication of corrupt officials – a surge in local violence.[8] As a remedy, the Chinese central government announced the launch of an anti-organized-violence campaign in early 2018, the fifth year of its ongoing anti-corruption campaign. This also echoes the statement that anti-corruption efforts must minimize unintended effects (Fisman and Golden, 2017).

Lastly, this paper contributes to investigations of linkages between crime organizations and political actors. Most previous studies have focused on organized crime in countries with permissive firearm regulations, such as the United States (Ouss, 2020; Cheng and Long, 2022) and Italy (Daniele and Marani, 2011; Carrieri et al., 2019; Le Moglie and Sorrenti, 2022). But

[8] This is in contrast to the conventional wisdom, which suggests a strategic substitution between the two tasks where resources are limited (e.g., Holmstrom and Milgrom, 1991), i.e., the ruler may increase either the intensity of the anti-corruption campaign or the career rewards/punishments to achieve certain policy goals. However, when local power dynamics are considered, launching an anti-corruption campaign necessarily replaces some corrupt officers (who also helped maintain the local peace as arbitrators) with good ones. Thus, violence becomes the only way for gangsters to resolve conflicts, which may ultimately require another campaign to address this problem.

it should be highlighted that organized crime is never absent in countries with prohibition of private guns, especially in weak institutions with low law enforcement efficiency and sometimes incomplete laws (Acemoglu and Johnson, 2003; Acemoglu and Robinson, 2022). This is because a fundamental commit problem lies between gangs to resolve conflicts with no clear property rights protection as in the Coase Theorem (Acemoglu, 2003). We complement this discussion with an examination of organized crime under a gun prohibition regime: China. In the Chinese context, a paper close to ours is He and Peng (2022), who find close collusion between local police and organized prostitution criminals, and more pronounced collusion during local crackdowns on prostitution. We echo He and Peng (2022) in the protection provided by these corrupt officials but differ in the research focus: we highlight the consequences, i.e., the unintended social unrest, after removing such officials.

The rest of the paper is organized as follows. Section 2 provides an overview of the background of our study. Section 3 introduces our theoretical framework. Section 4 describes the data. Section 5 provides the empirical strategy and results, and Section 6 rules out alternative explanations. Section 7 concludes the paper.

2. Background

In this section, we first outline the background of organized crime in China and explain why local politicians have incentives to collude with local gangsters. We then briefly introduce China's anti-corruption campaign, which systematically removes tainted politicians. Finally, to motivate our analysis, we provide suggestive evidence of a spike in organized violence following the anti-corruption campaign.

2.1 Local Politicians and Organized Crime in China

Crime organizations, which we refer to as gangs or mafias in this paper interchangeably, consist of individuals who organize to engage in various illegal activities, including violence, gambling, and property infringement. Organized crime, in the meantime, is a serious form of crime that

is severely cracked down across countries. Organized crime cases in China are usually handled quickly in court, with suspects being tried within one year of the arrest.[9] Out-of-court settlements are not allowed due to their seriousness and social impact. Regarding the nature of organized crime, some of these activities can be very violent and often involve group fights with knives, axes, or bare fists (see Appendix Figure A1 for illustrations of commonly used weapons). A frequent source of organized violence is the disputes between different crime organizations. Since they are rarely formally resolved through the courts, such disputes often lead to gang fights, creating chaos and threatening social stability.

Meanwhile, social stability is a key performance indicator for local officials.[10] A breakdown in such stability – usually in the form of social unrest or the presence of local violence – can spell the end of a local official's political career. Therefore, if local politicians collude with gangsters, they can kill two birds with one stone: first, the collusion allows politicians to arbitrate conflicts among gangsters peacefully, thus maintaining local stability; second, the corrupt politicians receive sizable extralegal bribes for their services. The judicial documents of indicted officials record and describe officials' collusion behaviors as "*serving as protective umbrellas for local gangsters.*" For instance, officials and police officers in Huizhou in Guangdong Province were found mediating local gangster disputes, for which they received bribes of more than 500,000 RMB (76,870 USD) (*People's Daily Online*, 2018).[11] Moreover, the standing committee member of Rucheng County in Hunan Province was found colluding with and providing protection to local gangs, while the gangs paid monthly protection fees of more than 30,000 RMB (4,600 USD) to the local police (*Judgement Document Online*, 2017).[12] In general, these "umbrellas" protect gangsters' casinos and brothels, arbitrate conflicts, and bail them out if they are arrested.

[9] The laws in China set certain limits on the length of time that criminal cases can be tried. Specifically, the People's Court must render a verdict on a procuratorial case within two months of accepting it, but no later than three months. This period may be extended by three months in cases where the death penalty may be imposed, or in cases of collateral civil litigation. Thus, the rapid sentencing for organized crime in China precludes the bias of a lengthy sentencing process discussed in The previous crime researches (e.g., Zatz and Hagan, 1985).
[10] See: http://www.gov.cn/xinwen/2019-04/21/content_5384955.htm.
[11] See *People's Daily Online*: http://fanfu.people.com.cn/n1/2018/1011/c64371-30333802.html.
[12] See *Judgement Document Online*:
http://wenshu.court.gov.cn/website/wenshu/181107ANFZ0BXSK4/index.html?docId=aa862c3a15284a6697d8a82a00cc6f91

2.2 The Anti-corruption Campaign

China launched a nationwide anti-corruption campaign of unprecedented scale after the Chinese Communist Party's 18th National Congress in late 2012.[13] The campaign sought to hold corrupt officials at all levels accountable – what the government described as "*crack[ing] down on tigers and flies.*"[14] The anti-corruption campaign was the largest political event in China between late 2012 and 2017, with few other major concurrent nationwide political events. The highly effective campaign led to an annual average of 409,600 officials punished during 2012-2017, representing a 70% increase from the year before the campaign began. By the end of 2017, more than 119,000 individuals (primarily local officials) had been charged for corruption.[15]

In addition to the wide range of indictments, the campaign has been characterized by a high degree of persistence. The campaign is led by the Central Commission for Discipline Inspection (CCDI) – the highest-level internal control agency of the Chinese Communist Party. The CCDI forms the Central Investigation Committee to investigate and crack down on corruption cases. The Investigation Committee often adopts a circumvented approach, in which local investigations consist of multiple iterations and random recurrence. For instance, the Central Inspection Group conducted spot-check revisits to four provinces in 2016, leading to dozens of officials' indictments.[16] The persistence of the campaign has generated strong deterrent effects: even officials not under investigation have opted to self-report their wrongdoings to the Investigation Committees.[17] In short, the anti-corruption campaign not only eradicated several corrupt officials, but also changed the ruling pattern of uninvestigated officials.

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[13] In China's anti-corruption campaign, the definition of corruption aligns with that of the World Bank, which defines corruption as the abuse of public power for private gain (World Bank, 1997). This primarily manifests in forms such as bribery and graft, embezzlement and misappropriation of public funds, and violations of party discipline and social norms.

[14] "*Tigers*" refers to senior-level corrupt officials, and "*flies*" refers to grassroots corrupt officials. The term "*crack[ing] down on tigers and flies*" refers to resolutely investigating and dealing with both senior-level and grassroot-level corruption.

[15] These numbers provide an overview of the backgrounds of corrupt officials punished in China, including those, though fewer in number, who were involved in colluding with organized crime in subsequent case reviews. See: https://www.ccdi.gov.cn/xxgk/hyzl/201710/t20171031_114178.html.

[16] See: https://news.china.com/domesticgd/10000159/20160525/22730592.html.

[17] For instance, local officials may consult the disciplinary committee on the required code of conduct or even offer bribes to the committee to avoid potential indictment. See: http://fanfu.people.com.cn/n/2014/0108/c64371-24062710.html.

2.3 Post-campaign Violence

Conventional wisdom suggests cracking down on corrupt officials should constitute a public good and rejuvenate local communities. However, after the anti-corruption campaign, a *surge* in organized violence was witnessed nationwide. Figure 1 illustrates a significant increase in criminal cases related to organized violence and in the number of arrested individuals after the anti-corruption campaign. For instance, the number of criminals involved in organized crime cases was only about 300 in 2011, but surged to over 1,000 after the launch of the anti-corruption campaign.

[Insert Figure 1 here]

The persistent surge in violence eventually attracted top-level attention. On January 24, 2018, as the anti-corruption campaign entered its fifth year, the Party's Central Committee and the State Council announced the launch of the nationwide *Special Criminal Syndicate Combat*, a three-year campaign designed to eradicate local gangsters and violence, on top of the continued anti-corruption campaign. The announcement highlighted that *"the crackdown upon organized crime shall be combined with corruption combat and basic-level fly-swatting*" (State Council, 2018), which implied the link between the anti-corruption campaigns targeting local politicians and the uptick in local violence.

However, several puzzles remain. *Why* did the anti-corruption-oriented campaign lead to such a surge in organized violence? Does it exhibit regional heterogeneity, and *how*? The following section introduces a theoretical framework to analyze these puzzles.

3. Theoretical Framework

In this section, we analyze the interactions between local politicians and gangsters and investigate how a shock that removes corrupt politicians may lead to a surge of violence. The analysis proceeds in three parts. Section 3.1 details the conditions under which inter-gang

negotiations fail to resolve conflicts peacefully, and thus require external arbitration. Section 3.2 shows how a self-enforcing arrangement can be implemented in which a local politician peacefully arbitrates gangster conflicts and secures local stability. Section 3.3 generates testable predictions about a scenario in which a shock – such as the anti-corruption campaign – systematically removes such arbitrating politicians.

3.1 Inter-gang Negotiations without Politicians

Consider two local crime organizations, or gangs, A and B, with a (normalized) power structure $(x, 1-x)$, where $0 < x < 1$ indicates the relative power distribution. We interpret the sizes of gangs broadly, from individual criminals to large-sized crime syndicates. There is an indivisible resource of value R (e.g., gold mines, oil rigs, ports, poppy fields) that *de jure* belongs to either A or B by default.[18] For instance, a gold mine may be discovered closer to the base of one of the gangs. Without loss of generality, we assume that the default ownership falls on A. However, without credible enforcement of such ownership, gangs may fight over the asset; the winner gets *de facto* ownership. Gang A wins the fight with probability x, and B, $(1-x)$. The fight incurs a cost of $K \geq 0$ for both gangs. Moreover, the government will catch them fighting with a probability of $0 < q < 1$ and confiscate all resource benefits. We abstract from the potentially increasing marginal costs of increasing monitoring intensity to keep the model concise. Consequently, the expected payoffs of a fight are as follows:

A: $(1-q)xR - K = \underline{U_A}$

B: $(1-q)(1-x)R - K = \underline{U_B}$

When $max\{(1-q)xR, (1-q)(1-x)R\} = \overline{K} \leq K$, the high cost of conflicts prohibits any violence. In the following analysis, we assume that the costs are relatively small compared to the potential gains, so the stand-alone cost of conflict is insufficient to prevent violence.

ASSUMPTION 1. $K < \overline{K}$.

[18] The setup of fighting over the resource with default ownership is well-founded in the literature. For instance, mafias in Los Angeles have their own turf and strong control deep within these areas. Conflicts often occur along boundaries where default ownership exists but can be contested (Brantingham et al., 2012).

Under Assumption 1, the above conflict payoffs are always feasible, with violence as an outside option. Alternatively, the two gangs may attempt to resolve the conflict peacefully. However, the indivisibility of the asset introduces a commitment problem to such a peaceful transfer. Specifically, the lack of external enforcement often makes it difficult for gangs to borrow substantial funds to complete the transaction financially. Moreover, indivisibility of the asset makes it difficult to divide the resources into appropriate shares, unlike cutting gold or splitting bags of diamonds. To reflect this, we assume that each gang has a commitment constraint of $M \geq 0$: no transfer can exceed the upper bound of M, which leads to the following simple lemma:

LEMMA 1. *When* $M < \overline{R} = min\{\underline{U}_A, \underline{U}_B\}$*, gangs always resolve conflicts with violence.*

PROOF. See Appendix.

Lemma 1 emphasizes that when the rents from the resource are significantly higher than the gangsters' commitment constraint, peaceful negotiations break down due to insufficient funds to complete the transfer. When the negotiations fail, gangs resolve the conflict through violence. Furthermore, such violent conflicts continue despite possible administrative punishments when the potential payoffs are significant. To summarize, the failure of inter-gang negotiations comes from commitment constraints that prevent Pareto-improving transfers. Echoing the literature, violence is the only way to resolve conflicts without such transfers (e.g., Collier and Sambanis, 2002; Allen, 2016).

3.2 Local Politicians as Arbitrators

Now consider that a higher-level government has appointed a local politician to oversee local stability. As illustrated in Section 2, the politician has access to state apparatus and thus can crack down on any violent fights among local gangs at a lower cost $\beta K, 0 < \beta < 1$, and confiscate the asset. However, the local politician has neither the time nor the ability to oversee the resource or put it to profitable use. We assume that a corrupt politician exploits the

confiscated asset for personal use, with value $\alpha R, 0 < \alpha < 1$. Such misbehavior may be discovered by the superior government with probability $0 < p < 1$.

Alternatively, the corrupt politician may use its power to demand a protection fee, r, and to arbitrate resource allocation – that is, to ensure that the challenge from the other gang never succeeds. The protection fee, as part of the corruption deal, is also subject to central investigation, with the same probability p. As highlighted in Section 2.2, the central government monitors local governance performance – in particular, local stability. Failure to deliver local stability would harm the official's career prospects. We denote the official's punishment for local violence, once observed by the superior government (with probability q), as $-V < 0$.

In this environment, will gangs turn to the local politician for arbitration? To answer this question, we establish the existence of a self-enforcing arbitration arrangement between the politician and gangs (Proposition 1), and show that such an arrangement can be preferred by the gangs (Proposition 2) over direct conflicts. In the self-enforcing arbitration arrangement, the politician commits to utilizing state power to repress B if B challenges A's ownership of the asset; A pays rent r to the politician, and B chooses not to challenge A.

PROPOSITION 1. *A self-enforcing arbitration arrangement exists when* $[1 - p - (1 - q)x]R + K \geq max\{\alpha R, \frac{\beta K - qV}{(1-p)q}\}$, *and the optimal rent* $r^* = (1 - p)R - \underline{U}_A$.

PROOF. See Appendix.

The intuition that the local politician arbitrates conflicts is based on two assumptions. First, self-exploitation of the resource is not sufficiently profitable. Second, gang violence is detrimental to the politician's career. Moreover, the arbitration contract is more likely to be self-enforcing when the punishment for corruption (V) is severe and when the cost of interference (β) is low. These two conditions are due to the absence of a credible commitment. In particular, greater state power (a smaller β) also facilitates collusion since suppression becomes less costly: Even when state power is overwhelming ($\beta = 0$), it may still be in the official's interest to arbitrate, as long as self-exploitation is inefficient and the punishment for

observed violence would be severe.

Given that a self-enforcing arbitration contract exists, the remaining question is whether the bribe in such a contract is easier to achieve under the same commitment constraint and is thus preferred by a financially constrained gang. The following proposition addresses this issue:

PROPOSITION 2. *When* $\overline{R} < M$*, the arbitrator contract is preferred if* $\alpha \leq \frac{r^*}{R}$ *and* $V \geq \frac{\beta K}{q}$*, that is, if there are few incentives to prey and the punishment for instability is harsh.*

PROOF. See Appendix.

Proposition 2 shows that an arbitrator contract exists and is preferred by the gangs when the arbitrator has a limited ability to appropriate the asset, and when the accrued violence is detrimental to the arbitrator – both conditions are well-satisfied when local politicians serve as arbitrators. Therefore, allowing politicians to arbitrate provides greater stability on average; conversely, their systematic removal increases the level of local violence. In the following section, we provide testable predictions of systematically removing arbitrating politicians in the context of anti-corruption campaigns.

3.3 From Theory to Testable Predictions

In summary, the theoretical framework provides two conflict resolution scenarios for local crime organizations, and the conditions upon which local politicians serve as arbitrators and local crime organizations resolve conflicts peacefully can be incentive compatible for all participants. However, as shown in Proposition 1, when a higher level of government increases the investigation intensity p through – in the context of China – an anti-corruption campaign that removes corrupt officials, it has two effects. First, more corrupt arbitrating officials are eradicated and replaced. Second, the arbitrator contract becomes infeasible in certain regions – i.e., more local officials switch their ruling pattern from an arbitrating godfather to a non-corrupt politician. Both effects break down the peaceful resolution of local gangster conflicts, leaving violence as the only outlet. Thus, we have our first prediction:

Violence surge hypothesis: *more local organized violence will be observed after anti-corruption campaigns remove officials colluding with local gangs.*

Relatedly, since the violence surge is due to a switch of ruling pattern from arbitrating to non-corrupt officials, when the anti-corruption campaign started, both the remaining officials and the incoming new officials continue to crack down on crimes as good-hearted non-corrupt politicians would. This, in turn, suggests that regions with previously rampant corruption will see a more significant increase in local violence, as more gangs will resort to violence while the intensity of detection remains high. This brings us to our second prediction:

Intensity hypothesis: *The surge in local organized violence is more substantial in regions with pervasive corruption previously.*

Moreover, from the local politicians' perspective, the incentives to serve as arbitrators are heavily influenced by the rents they can earn from the collusion. If the local socioeconomic environment allows more rent-seeking opportunities for the officials (R is higher), we expect more godfather politicians and thus more observed violence after their removal. This echoes prior studies that connect resources to the rise of the mafia (e.g., Buonanno, 2015), the prevalence of violence in African mines (Berman et al., 2017), and armed groups in South Asia (Staniland, 2012). Therefore, we have our third prediction:

Rent-seeking hypothesis: *The surge in local organized violence is more substantial in regions with more rent-seeking opportunities for local officials.*

In the following sections, we empirically test these predictions.

4. Data

To test the predictions, we collect data in three categories. First, we collect data on organized violence as our main dependent variable. Second, we collect data on local politicians – whether they were indicted for corruption and, if so, when they were removed from office – as our independent variables. Lastly, we collect information on non-violent crimes and local socioeconomic conditions as controls for our robustness checks.

4.1 Organized Violence

To study the interactions between politicians and gangsters, we built a unique database of organized crime cases using data from *China Judgements Online*, a government website that publishes all official judicial documents from courts at all levels.[19] We used the information from the website to construct a database of organized crime cases prosecuted during our study period (2009-2017).[20] In terms of the representativeness of the prosecuted organized crime cases, the strong will of the Chinese government on cracking down on organized crime ensures that there is almost no organized crime unprosecuted.[21] Although some cases of organized crime involving collusion with officials may escape prosecution, it only implies that the level of reported violence tends to a lower bound of actual violence. Of the criminal cases, we identified 456 that involve crime organizations, with explicit indications of "gang" (*heishehui*) or "organized crime" (*youzuzhi fanzui*), distributed in 277 counties.[22] For the 456 cases, we manually read the judicial documents to identify whether the criminals colluded with local politicians.[23] We further narrow our sample to those that involved violent incidents: we

[19] The government website is https://wenshu.court.gov.cn/. By early 2021, the website contained approximately 115 million documents, 9 million of which were related to criminal cases. The judicial documents may exhibit selection bias subject to censorship; thus, the publicly available documents may only represent a subset of all documents. However, this concern is of limited significance in China, since gangster cases are usually not subject to censorship (Chen and Li, 2020). Appendix B details how the database was constructed. In late 2023, there were discussions about discontinuing the publication of judicial documents online. However, for our sample period (2009-2017), our data adequately reflects all judicial documents from courts at different levels.

[20] The anti-corruption campaign continued after 2017. However, as mentioned previously, a nationwide Special Criminal Syndicate Combat was launched by the Party's Central Committee and the State Council in 2018, aiming to eradicate local gangsters and violence. Therefore, we focus on data before 2017 to address potential confounding factors concerns.

[21] Usually, not all actual criminal cases are prosecuted, thus using only the prosecution data introduces serious selection bias on the data. However, our data on organized crime suffer less from selection bias because organized crime is severely cracked down on by the Chinese government and it is almost impossible not to be detected. Besides, the Chinese government cracks down on organized crime at a rapid rate. According to China's legal system, any organized crime must be tried in court, with a speedy trial and a quick verdict, which is completed within a year.

[22] The reason for the small number of organized crime cases is the strict legal requirements imposed by the Chinese legislature. The Chinese legislature defines that an organization of a triad society should have the following four main characteristics at the same time, namely, organizational, economic, behavioral, and harmful characteristics. First, organizational characteristics refer to the formation of a stable crime organization with a large number of participants, a clear organizer and leader, and several core standing members. Second, economic characteristics refer to the organized acquisition of economic benefits through illegal and criminal activities or other means, with economic strength to support the activities of the organization. Thirdly, behavioral characteristics refer to the use of violence, threats or other means to carry out illegal and criminal activities in an organized manner on a number of occasions, committing crimes, oppressing and maiming the masses. Fourth, harmful characteristics refer to domination through implementing of illegal and criminal activities, or colluding with government officials to establish illegal control or significant influence in a certain region or industry, and to seriously disrupt the order of economic and social life. See:
https://www.npc.gov.cn/c2/c30834/202112/t20211224_315575.html.

[23] The descriptions of such collusions include keywords such as "protective umbrella (*baohusan*)", "illegal protection (*feifa baohu*)", "rope (*lalong*)", and "collude (*goujie*)". Some may be concerned that the judicial documents may not reveal complete information concerning politicians' collusion. We address this issue in Section 6.

assigned research assistants to manually read the cases and identify the years in which organized violence was involved.[24]

Specifically, our dependent variable, *Violence*, is coded 1 if the phrase "gang fight" appears, and 0 otherwise. Our final sample contains 217 cases that involve gang fights, distributed in 162 counties. We also collected additional information from the judicial documents, such as the number of individuals involved in the crimes and the length of the documents, for robustness checks. Figure 2 illustrates the geographic distribution of organized violence cases. As shown, the cases are widely spread across the provinces, with nearly 60% of the counties experiencing multiple cases of organized violence, indicating a nationwide concern for local stability.

[Insert Figure 2 here]

4.2 Local Politicians and the Anti-corruption Campaign

To explore the possible interactions between politicians and gangs, we collect explicit records of collusion with local officials in the judicial documents to cross-compare them with the anti-corruption records. Specifically, our independent variable is the interaction of local officials' collusion, *Collusion*, with a time indicator, *Anticorruption*. *Collusion* is a dummy variable that takes the value of 1 if the judicial documents explicitly indicate the involvement of collusions between the official and the gang taking place before the anti-corruption campaign.[25] And *Anticorruption* is a dummy variable that takes the value of 1 after 2013 when the campaign began.[26]

We also collect information on county-, prefecture-, and province-level party secretaries

[24] We assign two groups of research assistants to code the cases independently. Normally, the document will explicate a gang fight when there is one. When the documents have ambiguous indications, or the two groups of research assistants have conflicting entries, we read the document to confirm the coding.

[25] Specifically, an explicit involvement of collusion means that the judicial document contains a statement that "*The officials provide protection to crime organizations*." We define *Collusion* in individual level instead of clustering at, for example, county level because the collusion between the official (the "umbrella") and the gangster took place between individuals. Appendix Figure B1 details how *Collusion* is defined. However, it is possible that some collusion remains unfound in the indictment, which means that our estimate of collusion provides a lower bound of actual collusion in practice.

[26] There is less concern about self-selection in our sample, as the anti-corruption campaign arrived as an exogenous shock to local officials.

(PS).[27] These data mainly come from three sources: (1) CNRDS (Chinese Research Data Services Platform), (2) *Baidu Baike*, and (3) *People.com.cn*, which are widely used data sources in the literature (Chen and Kung, 2016; Ru, 2018; Fisman et al., 2020; Nian, 2023).[28] Furthermore, we collect data on the impacts of the anti-corruption campaign, measured by the year of the first inspection in each province by the Central Commission for Discipline Inspection (CCDI).

4.3 Other Variables

Non-violent Crime. The interactions between local politicians and gangsters may not be limited to violent conflicts. To explore the anti-corruption campaign's impact on other types of crime, we collect information on non-violent organized crimes from *China Judgements Online*, including gambling and property infringement. Similar to the violent crime dummy variable, *Violence*, these crimes are dummy variables that take the value of 1 if the corresponding crimes are explicitly indicated in the judicial documents, and 0 otherwise. These non-violent crimes tend to involve illegal transactions between individual criminals or between individual criminals and citizens. Therefore, there is less need for organization-level arbitration. Appendix B details the definition of these cases.

Socioeconomic Conditions. Local socioeconomic conditions can influence both the intensity of anti-corruption campaigns and the interactions between local politicians and gangsters. Therefore, we collect key measures of local socioeconomic development such as GDP per capita, population, and fiscal expenditures from statistical yearbooks.[29]

Table 1 provides the data sources and summary statistics for all the variables used in our

[27] As institutional background, county is an important administrative unit of China's national governance and the base unit of China's economic statistics. There are more than 2,000 counties in China. The average area of a county in China is 3,459 square kilometers, and the average population of a county is over 500,000 people. Counties have important local governance and administrative functions, one of which is to maintain public safety. Counties have their own police departments and law enforcement to combat organized crime. Since organized crimes are severely cracked down in China, gangs are usually rare. There are a total of 456 gangs in 277 counties in our sample.

[28] CNRDS provides systematic records of politicians' basic information and career paths. We supplement the CNRDS data with information from *Baidu Baike* and People.com.cn where the information is incomplete. Using three sources allows us to cross-validate the records. For instance, we randomly select 50 county party secretaries and compare the information across the three sources, and find that the results are consistent in all three sources.

[29] To avoid the control variables being impacted by the anti-corruption campaign, we select the pre-anti-corruption campaign covariates in the year when the gang committed its first crime. Some of the data are unavailable for the corresponding periods, which leads to a smaller sample size of control variables.

analysis. The average incidence of organized violence (gang fights) is 10.5% in all criminal cases. The treatment group (collusion) accounts for 6.7% of all samples.

[Insert Table 1 here]

5. Empirical Strategy and Results

In this section, we estimate the impact of removing corrupt politicians on organized violence. Section 5.1 characterizes our DID strategy and presents the main results. Section 5.2 performs robustness checks. Section 5.3 discusses regional heterogeneity. We conduct our empirical analyses at the level of crime organizations, i.e., at the gang level, which has two advantages. First, the boundaries of crime organizations are clear. Second, gang-level data is the smallest possible unit for our analysis, which allows us to explore the heterogeneity at aggregate levels, such as counties and prefectures.

5.1 Main Results

We use a DID strategy to examine the dynamics of organized violence. Appendix Figure A2 illustrates the intuition behind our empirical strategy. As suggested in the theoretical framework, an anti-corruption campaign causes many corrupt officials who also served as arbitrators of gangster conflicts to be removed. Without peaceful means of arbitration, local gangsters are more likely to resort to violence. However, if local gangs did not collude with corrupt officials, an anti-corruption campaign should not affect local organized violence. Thus, by comparing the intensity of violence before and after the campaign in gangs where local officials colluded with organized criminals (treatment group) to gangs where they did not (control group), we can identify the impact of the anti-corruption campaign on organized violence. Our baseline specification is as follows:

$$Violence_{i,c,t} = \alpha + \beta Collusion_i \times Anticorruption_t + \gamma Collusion_i + \delta X_c \times Anticorruption_t + \sigma_c + \theta_t + \varepsilon_{i,c,t} \qquad (1)$$

Our dependent variable is $Violence_{i,c,t}$, which equals 1 if gang i in county c in year t is involved in organized violence and 0 otherwise. Our explanatory variable is the interaction of two dummies. The first dummy variable, $Collusion_i$, is an indicator for collusion between the gang and local officials: it takes a value of 1 if such collusion was found before the anti-corruption investigation. The second dummy, $Anticorruption_t$, takes a value of 1 after 2013, when the campaign began. The interaction term captures variations in violence across regions with prior patronage versus those without. We expect the coefficient of the interaction β to be positive. X_c denotes a series of pre-anti-corruption controls in counties, including the logarithm of GDP, population, and fiscal expenditure, in the year when the gang committed its first crime. As befits a fixed-effects model, σ_c captures the time-invariant regional characteristics for counties c that may be associated with the anti-corruption campaign, whereas θ_t controls for the year effects in our estimation. $\varepsilon_{i,c,t}$ is the error term.

Table 2 reports the baseline results. Column 1 shows that controlling for county and year fixed effects, the incidents of organized violence increased by 15.0%.[30] To further control for time-varying confounders in each prefecture, we add prefecture year trends in Column 2, and the results remain robust. To control for other province-level socioeconomic activities that may be correlated with the campaign, we add province-by-year dummies in Column 3, and the estimates remain similar.[31]

[Insert Table 2 here]

Identifying Assumption. Our identification strategy assumes no significant differences in

[30] Some may be concerned that a crime organization may operate in multiple regions, or collude with officials across regions. We read through the 456 judicial documents, and counted only 34 multi-regional cases, representing 7.46% of our sample. Multi-regional gangs have positive entries in each of the active regions, which has a limited impact on our analysis. We replicated the analysis excluding these 34 cases, and the results are highly consistent with our baseline. Besides, we also re-estimate the baseline with county fixed effects. The results are similar both in magnitudes and statistical significance with those in Table 2. These exercises thus lead us to believe that cross-regional gangs had a limited impact on our results.

[31] Meanwhile, the coefficient of *Collusion* is not statistically significant across all three columns due to two counter-balancing forces: on the one hand, collusion between officials and crime organizations reduces violence by officials' arbitrating role. On the other hand, regions with rampant collusion could intrinsically indicate higher social instability.

violence intensity between the treated and the control group in the absence of the anti-corruption campaign. To test this assumption, we check whether the treatment group and the control group have maintained a constant difference before the anti-corruption campaign. Specifically, we conduct a year-on-year estimate of the difference in the level of violence between the treatment and control groups using the following specification:

$$Violence_{i,c,t} = \alpha + \sum_{\tau=-4,\tau\neq -1}^{4} \beta_\tau Collusion_i \times Eventyear_t^\tau + \gamma Collusion_i + \delta X_c \times Anticorruption_t + \sigma_c + \theta_t + \varepsilon_{i,c,t} \quad (2)$$

In the specification, τ counts the number of years after 2013 when the anti-corruption campaign was initiated. We interacted the treatment variable, $Collusion_i$, with each of the year fixed effects, $Eventyear_t^\tau$, and selected one year before the launch of the anti-corruption campaign as the reference group. Figure 3 presents the estimated results. We found no systematic difference between the control and treatment groups before the campaign. However, the incidents of organized violence in the treatment group increased significantly after the campaign. This confirms our DID specification.

[Insert Figure 3 here]

Moreover, our identification assumption hinges on that the decisions to remove officials should not be influenced by other factors that may affect organized violence. We argue that the rapidity in removing corrupt officials – an important institutional feature in China's campaign – helps address this issue: it then becomes difficult to attribute the changes before and after the removal to other factors correlated with the presence and the dynamics of organized violence. In the context of Figure 3, the post-trend suggests that the post-campaign surge in organized violence was sharp in the short run but faded after three years: Upon the removal of the corrupt arbitrating officials, the local gangs had to resort to violence to resolve conflicts. As the anti-corruption drive continued, new officials faced sustained momentum of the campaign and constant inspection pressures from the newly established National Supervisory Commission

and local supervisory commissions (Fu, 2014; Broadhurst and Zhong, 2022). The high exposure risks thus prevents the new officials from falling into the same patterns of collusion (Li and Wang, 2019), stopped acting as arbitrating godfathers, and changed their ruling pattern to crack down on local crime.[32] As a result, the surge in organized violence faded after a period of surging.

A remaining concern of the identification strategy is that we do not know what else may have been changing since the anti-corruption campaign. In the following, we perform robustness checks considering confounding factors since the anti-corruption campaign and rule out alternative explanations.

5.2 Robustness Checks

Next, we conduct six robustness checks to show that the baseline results remain robust after considering anticipation effect, alternate timing of the anti-corruption campaign, alternate definitions of collusion, measurement error, socioeconomic conditions, and the impact of judicial reforms.

Anticipation Effect. The absence of an anticipation effect is an important prerequisite for the DID strategy (Imai and Kim, 2019). It is possible that some officials anticipated the risk of collusion and began to change their strategies in advance of the anti-corruption campaign, given that a notorious political scandal concerning corruption and collusion took place in early 2012.[33] To address this concern, we define an indicator variable, *Anticipation*, which equals 1 in 2012, to control for officials' expectations before the official start of the anti-corruption campaign and re-estimate the results. Table 3 presents the results. As shown, our baseline finding of the violence surge remains robust after considering the anticipation effect, while there is no significant effect for the interaction term between official collusion and their expectations. Thus, our finding is not compromised by the possible existence of an anticipation

[32] The persistently strong monitoring intensity is reflected in the large number of individuals disciplined by the Party – 182,000 in 2013, 232,000 in 2014, 336,000 in 2015, and 310,000 in 2016.

[33] In February 2012, Wang Lijun, vice-mayor of Chongqing, was abruptly demoted and then prosecuted for revealing classified information to the United States consulate. The incident then triggered the prosecution of Bo Xilai, the Party Secretary of Chongqing at the time. Both were then charged with crimes of corruption and collusion, among others.

effect.

[Insert Table 3 here]

Alternate Timing of Anti-corruption Campaign. Second, we examine an alternate inception year of the anti-corruption campaign. The baseline regression uses 2013 as the universal time of the shock. However, removing a direct superior is likely to impact local officials more directly and may cause them to re-evaluate their involvement with criminals. In Table 4, we replicate the baseline regression and substitute the campaign launch year ($Anticorruption_t$) with the number of officials charged at the province level in natural logarithms ($Charged\ province\ officials_{p,t}$), following Wang and Dickson (2022). The results confirm the conjecture: in regions that feature collusion between officials and gangsters, the ouster of one additional provincial official leads to a 13.3% increase in observed violence. It thus verifies that the fall of superior officials sends a solid signal for subordinate officials to stop arbitrating gangster conflicts due to the imminent risk of exposure.

[Insert Table 4 here]

Alternate Definitions of Collusion. Third, we examine an alternate definition of collusion in the analysis. In the baseline, we only consider the explicit involvement of officials' collusion with local gangsters. The highly restrictive definition thus limits the number of treatment groups. However, the deterrence effect of the anti-corruption might also kick in when the colleagues of godfather officials were investigated. Specifically, officials serving in law enforcement departments (police, procuratorate, and court) were the frequent choices of gang arbitrators. If an official in these departments was indicted, it was more likely to deter other potential colluded officials from arbitrating gangster conflicts. Following this logic, we examine local violence dynamics after investigations of law enforcement officials. Specifically, we define the treatment group as investigated counties. In Column 1 of Table 5, we show that local gang fights exhibited an extra surge in regions with investigations on the local police force. In Column 2, we show that the extra violence surge remains when investigations on both

the local police force and procuratorate are considered. Column 3 further shows that the extra violence surge is robust when investigations from all law enforcement departments (police, procuratorate, and court) are considered. To summarize, our baseline story holds under alternate definitions of collusion.

[Insert Table 5 here]

Measurement Error. Fourth, we examine the potential measurement error in the control groups. It is possible that in the control group, some collusion between crime organizations and local officials went undetected by the court. Given that local police commissioners are often directly involved in arbitrating processes,[34] these unfound collusions were more likely to occur when the local leaders were removed due to corruption, but the commissioner of the local police department remained in office.[35] If such cases are pervasive, after the campaign, these commissioners will immediately stop colluding due to the deterrent effect (Fang et al., 2022), and turn to cracking down on crime organizations – which leads to underestimations of our results. To address this issue, we exclude samples where the county leaders in the sample are arrested while police department commissioners are not, and re-estimate the results. We present the subsample results in Table 6, where all the results remain robust. In terms of magnitudes, the results in Table 6 are also comparable to those in the baseline (Table 2), suggesting limited impacts from possible measurement errors.[36]

[34] In China, the local leader is responsible for all major decisions, while the local police department commissioner, who reports to the local leader, is directly responsible for fighting crime, especially organized crime.

[35] In cases where both the local leaders and police department commissioners were investigated and removed, we believe the investigation was thorough, and the overlooked collusion was limited. We find that in 85% of the county secretaries in our sample who are arrested, the commissioners of local police department are also arrested.

[36] In addition, the small number of treated observations in our sample raises concerns of spurious correlations due to noise. To address this concern, we compare the treatment effects we have estimated to the distribution of placebo treatment effects when collusion between the gang and local officials is randomly assigned. Specifically, we randomly assign collusion to gangs in our sample, i.e., the number of placebo treatment gangs is the same as the number of actual treated gangs, but the selection is random. Then we estimate the placebo treatment effects according to the specification of Column 3 in the baseline analysis. Figure A3 plots the distribution of t-statistics from the placebo treatment effects for 5,000 iterations. The vertical lines mark the location of the t-statistic of the actual treatment effect. Of the 5,000 trials, we find no instances when the corresponding t value exceeds the baseline. The share of the placebo t-statistics that is larger than the actual statistic ($P(t \leq T)$) can be interpreted as analogous to a p-value. It suggests the probability that a randomly assigned treated group will present an effect at the same or higher level of significance as the actual treated group. As such, we can reject the null that our result is indifferent to the placebo treatment effects at about the 1% significance level.

[Insert Table 6 here]

Socioeconomic Conditions. Fifth, we consider the influence of socioeconomic conditions. Prior research has suggested that local socioeconomic conditions may influence the level of collusion between officials and gangs (Huntington, 1968; Shleifer and Vishny, 1993; Mauro, 1995). Recent empirical evidence from China also highlights changes in government and economic activities, along with the anti-corruption campaign (Wang, 2022). Therefore, we control local GDP per capita and population (as a proxy for economic output) and government fiscal expenditures (as a proxy for government activities). The results are reported in Table 7. Columns 1-3 add the controls individually, while Column 4 includes all controls. Our main coefficient of interest, *Collusion* × *Anticorruption*, remains significant across all specifications, with relatively stable magnitudes.

[Insert Table 7 here]

Judicial Reforms. Lastly, we consider the impact of the judicial reforms. In 2013, there was a judicial reform in seven experimenting provinces, aimed at increasing the transparency of the judicial processes.[37] It is then possible that the observed surge in organized violence is due to an increase in judicial transparency – e.g., making more judicial documents publicly available online – rather than an actual increase in violent incidents. To address the possibility, we exclude the data from the seven experimenting provinces and re-estimate the results in the subsample. We report the results in Appendix Table A2, which shows that our baseline remains robust.

5.3. Regional Heterogeneity

In this section, we exploit the regional heterogeneity in anti-corruption campaigns to test the

[37] Based on official websites (https://www.chinacourt.org/article/detail/2015/01/id/1538625.shtml), the seven experimenting provinces of the reforms are: Guangdong, Guizhou, Hainan, Hubei, Jilin, Qinghai, and Shanghai.

intensity hypothesis and the rent-seeking hypothesis.

The intensity hypothesis points to higher surges of local violence in regions with more rampant corruption. Specifically, we measure the level of corruption in different counties by the proportion of government officials indicted over the total population in a county during our sample period, a la Nie et al. (2019) and He and Peng (2022), and thus divide our samples into a high-corruption group and a low-corruption group based on whether the proportion of a particular county exceeds the mean.[38] As shown in Panel A of Figure 4, the surge in organized violence is indeed more substantial in the high-corruption group, thus confirming the hypothesis.

[Insert Figure 4 here]

On the other hand, the rent-seeking hypothesis predicts higher surges of local violence in regions with more rent-seeking opportunities – thus, local officials have more incentives to arbitrate for crime organizations. To measure local rent-seeking opportunities, we examine the role of heterogeneity in tax burdens. In China, local officials can impose additional burdens on firms to finance their favorite projects or increase their own consumption (Piotroski et al., 2015). Thus, higher tax burdens translate to higher opportunities for local officials to extract rents from businesses (Frye and Shleifer, 1997; He and Peng, 2022). Following this logic, we calculate the tax burden by dividing the sales tax and surcharge by the gross industrial output and use the average value as a proxy for local rent-seeking opportunities.[39] We present the results in Panel B of Figure 4, where we find that the increase in organized violence is indeed greater in counties with higher tax burdens – confirming the rent-seeking hypothesis. [40]

6. Ruling out Alternative Explanations

Our baseline results illustrate the organized violence surge due to the eradication of local gang-

[38] We collect measures of corruption, the number of government officials indicted from China's Corruption Investigations Dataset in Harvard Dataverse (Wang and Dickson, 2022), and the total population from statistical yearbooks.
[39] We collect measures of sales tax and surcharge and the gross industrial output from local statistical yearbooks.
[40] We also present the results of regional heterogeneity in Appendix Table A1.

colluding politicians. Despite that the difference-in-differences setup has addressed a large part of the endogeneity problem, one should acknowledge that the anti-corruption campaign fundamentally changed the local political dynamics, thus leaving several alternative explanations possible. Internally, from the government's perspective, it is conceivable that local governments face different incentives in spending efforts to detect, report, and eradicate local violent crimes after the anti-corruption campaign. Moreover, the power vacuum due to the removed official may induce government failure and thus local chaos. Externally, from a gang's perspective, the observed surge in violence may simply result from inter-gang skirmishes. In this section, we address the alternative explanations of government behavior changes, government failures, and inter-gang skirmishes, respectively, and show that our main results remain robust after considering these possibilities.

6.1 Government Behavior Changes

Cover-ups and Rainfall Effects in Reporting. Our baseline results may have two alternative explanations regarding government behavior changes in reporting violence. The first alternative explanation concerns the misreporting of gang fights: It is possible that while the actual level of violence did not change significantly before and after the anti-corruption campaign, more cases that local officials previously covered up were exposed during the campaign, which led to higher levels of *observed* violence. Moreover, current officials intimidated by the campaign no longer have the incentive to conceal past cases, which naturally leads to a surge in violent crime reports. Second, it is possible that the anti-corruption investigations exposed corrupt officials and their misconduct, leading to an increase in observed violence rather than changes in violence levels. This is known in the literature as the rainfall effect, whereby once an investigation is launched, new investigations are likely to be observed, sometimes unrelated to the original focus of the investigation (Buonanno et al., 2009; Barone and Narciso, 2015; Billings et al., 2019). For example, an investigation of corrupt politicians may turn out to involve their partners in crime, the gangs, and their violent behavior.

To alleviate these two concerns, we aggregate the data to the county level and replace the dependent variable with the number of organized crimes in a county – which could relate to collusion between gangs and local officials, thus subjecting to cover-ups and the rainfall effect. If either hypothesis holds, we should expect a surge in the number of reported crimes resulting from increased efforts. Column 1 of Table 8 presents the results, where we do not find an increase in organized crimes, thus ruling out both alternative explanations. Moreover, we replace the dependent variable with the number of generic crimes in a county – which is less related to gang-official collusion but still subject to generic cover-ups and the rainfall effect – and present the results in Column 2 of Table 8. As shown, the changes in generic crimes are also insignificant, which suggests our baseline results are not compromised by reporting biases in general.

[Insert Table 8 here]

Increased Monitoring Intensity. Another alternative explanation suggests that the surge in levels of observed violence is due to an increase in monitoring intensity rather than a rise in actual violent incidences. We examine this alternative hypothesis in two ways. First, increased monitoring intensity has a greater impact on marginal crimes because major crimes tend to receive significant investigative attention regardless of the level of monitoring intensity. That is, if our results were solely driven by increased monitoring intensity, we expect a limited impact on the number of major crimes. Since the number of criminals involved in a case is a key indicator of case severity, we define *major crimes* as cases where the number of involved individuals is above the mean in the sample and test the variation in violent cases in major crimes before and after the anti-corruption campaign. As shown in Column 3 of Table 8, the surge in violence associated with major crimes is also significant, invalidating the monitoring intensity explanation. Second, the details in the judicial documents partly reflect the increased intensity: more elaborate documents indicate greater investigative efforts. Therefore, we examine the changes in the length of judicial documents as a proxy for changes in the level of investigative effort. If our results are driven by increased monitoring intensity, we expect a longer document length to reflect such increased intensity. The results are presented in Column

4 of Table 8, where we find no significant differences before versus after the campaign, which again rules out the effects of potential monitoring changes.

Muscle-flexing of Incoming Officials. More broadly, the surge in violence may simply be a muscle-flexing maneuver for incoming officials to demonstrate their authority, whose channels may go beyond regular monitoring. To rule out this explanation, we evaluate the impact of regular political turnovers on local violence. If this alternative explanation is correct, regular turnovers should trigger similar increases in levels of violence because all incoming officials have similar muscle-flexing incentives. However, according to our theory, regular political turnovers should not affect local violence levels without external changes in anti-corruption intensity since the arbitrating godfather is an incentive-compatible choice for all incoming officials should there be no anti-corruption campaign. To conduct this test, we collect the names and positions of party secretaries at the county, prefectural and provincial levels from *Baidu Baike*, and reconstruct their history of political turnovers based on the records. Table 9 tests how county, prefectural, and provincial-level turnovers affect local organized violence. The dependent variable is again, *Violence*. The explanatory variable is a dummy indicating whether a regular political turnover occurs in that year. We find no significant impact of regular political turnovers on local violence, which supports our theory.

[Insert Table 9 here]

6.2 Government Failures

An alternative explanation concerning government activities is that non-regular political turnovers – such as the anti-corruption campaign – may lead to chaos in governance, echoing prior studies (Coviello and Mariniello, 2014; Crescenzi et al., 2016; Decarolis et al., 2020). According to this account, when the government fails, local violence surges. To rule out this alternative explanation, we collect records on non-violent cases related to gangs: if government failures are driving the surge in violence, all gang-related crimes, violent or not, would increase.

Based on this rationale, we conduct tests on the frequency of non-violent activities before and after the campaign. In Table 10, we replicate our baseline result of violent crimes and compare it with other non-violent crimes, such as gambling and property infringement. The table demonstrates that the frequency of these non-violent crimes significantly declined – rather than increased – after the campaign, suggesting that government failure is not the main contributor to the surge in violence.

[Insert Table 10 here]

These results on non-violent crimes also echo our theory that the lack of financial liquidity in conflict resolution is a major reason for organized violence. As shown in Table 9, compared to gang fights (Column 1), conflicts in other non-violent illegal activities, such as gambling (Column 2) and property infringement (Column 3), are easier to resolve through financial transactions instead of fist fights. Moreover, as shown in Columns 2-3, the "protective umbrellas" from local officials bred these non-violent crimes (the coefficient of *Collusion* is significantly positive). After the anti-corruption campaign mitigated such collusion, the frequency of non-violent crimes decreased (the coefficient of *Collusion* × *Anti-corruption* is significantly negative).

6.3 Inter-gang Skirmishes

From an inter-gang perspective, an alternative explanation suggests that the increased violence may be due to turf wars for new dominant positions. For instance, Dell (2015) discusses the increased rival trafficker violence in Mexico due to inter-gang competition after the government cracked down on incumbent criminals. To address this concern, we examine the sizes of gangs: if the campaign indeed induced a new wave of inter-gang warfare, we should expect the gangs convicted after the campaign to be smaller because the removal of a tycoon usually cannot be replaced with a successor with the same size. Moreover, the inter-gang skirmishes also distort gang sizes due to infighting. Consequently, we track the changes in gang

size, which is measured as the average number of individuals involved in the case before and after the campaign. The results, presented in Table 11, show no significant changes in the sizes of gangs involved in the conflicts, which rules out this concern.

[Insert Table 11 here]

In the same vein of skirmishes, some may worry that exposing the collusion of officials removed in the campaign may be a tactic to conceal power struggles behind the scenes. While previous studies acknowledge that politicians may misuse anti-corruption campaigns to crack down on their political opponents (Szakonyi, 2023), this concern does not alter our argument for three reasons. First, the existing studies highlight the targeted anti-corruption for power struggles in senior positions (e.g., Lorentzen and Lu, 2018). However, our data mainly cover county-level organized violence, which is less affected by the political turmoil in senior positions. Second, regardless of the true purpose of the campaign, it sharply increases the intensity of monitoring for corruption, which inherently prohibits the godfathering of local politicians. Third, the cases uncovered will be biased toward certain factions if power struggles are taken into account, but this only suggests that we have underestimated the increase in violence: if gang fights were everywhere, we would observe an even greater increase in local violence after the campaign. Taken together, our results are robust to potential behind-the-scenes power struggles.

7. Conclusion

This paper examines how corrupt politicians can peacefully resolve violent conflicts among local gangs, and why an anti-corruption campaign to remove such corrupt politicians may have the unintended consequence of increasing local violence. The lack of formal commitment is one of the fundamental causes of violent conflict between local gangs. However, a corrupt godfather official with the power of the state can serve as a peaceful arbitrator in exchange for rents. The power vacuum created by the central government's removal of the local godfather

triggers an upsurge in local violence as the peaceful alternative is also removed. Using the unique setting of China's anti-corruption campaign beginning in 2013 and a new database of all organized crime cases, we show that incidents of organized violence spike in cases where local officials are found to have colluded with local gangs compared to before the anti-corruption campaign. More broadly, we illustrate how power can maintain social order in a weak institutional environment. Consistent with the literature (Thomas and Worrall, 1994; Acemoglu et al., 2008; Svolik, 2012; North et al., 2013; Wang, 2017; Fan, 2019; Yao, 2021), we find that the *threat* of force – rather than its direct use – contributes to long-lasting peace.

The surge in violence uncovered in this study highlights the unintended policy consequences of policy-makers' failure to fully understand the interactions of the agents lower down the hierarchy, or among agents in and outside the hierarchy. For instance, replacing corrupt local officials with new ones contributes to the anti-corruption campaign and increases the probability of local violence. Therefore, a ruler who seeks to maintain stability may misjudge their policy objectives without taking the local power dynamics into account. In the context of this paper, for a central ruler who becomes aware of the surge in local violence due to the power vacuum created by the anti-corruption campaign, a collateral campaign to crack down on local violence will follow as a remedy. In this vein, the findings in this paper rationalize the nationwide *Special Criminal Syndicate Combat*, launched by the Party's Central Committee and the State Council in 2018, designed to eradicate local gangsters and violence. In this three-year Combat, it was made clear that *"the crackdown upon organized crime shall be combined with corruption combat…*" (State Council, 2018). Moreover, as the central government indicated that the anti-corruption campaign should be carried out on a regular basis,[41] the State Council followed up by making cracking down on organized violence a regular practice since 2021.[42] This, again, suggests that it is the institutional design – rather than the moral character of any individual politician, good or bad – that shapes a godfather politician (or lack thereof). In sum, the paper illustrates how well-intentioned and well-executed policies in governance objectives – such as anti-corruption – may have unintended externalities on other areas – such as social stability. It thus calls for more comprehensive policy

[41] See: https://www.chinacourt.org/article/detail/2019/01/id/3704073.shtml.
[42] See: https://www.gov.cn/xinwen/2021-05/20/content_5609597.htm.

design and evaluation when governance objectives are multifaceted.

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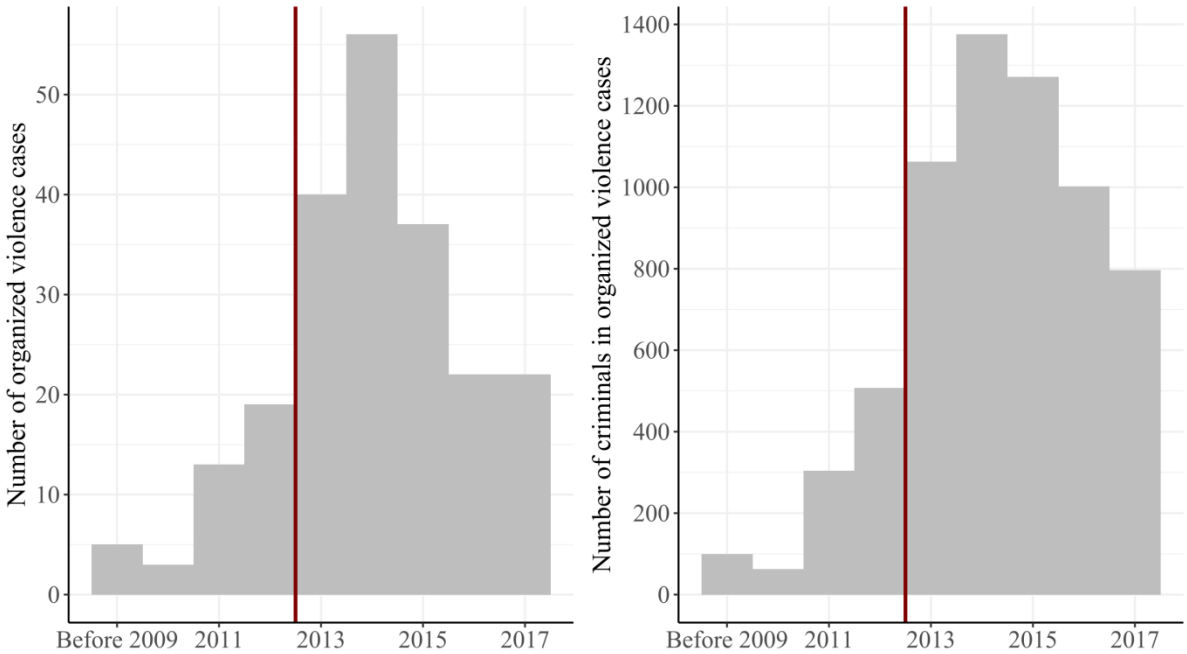
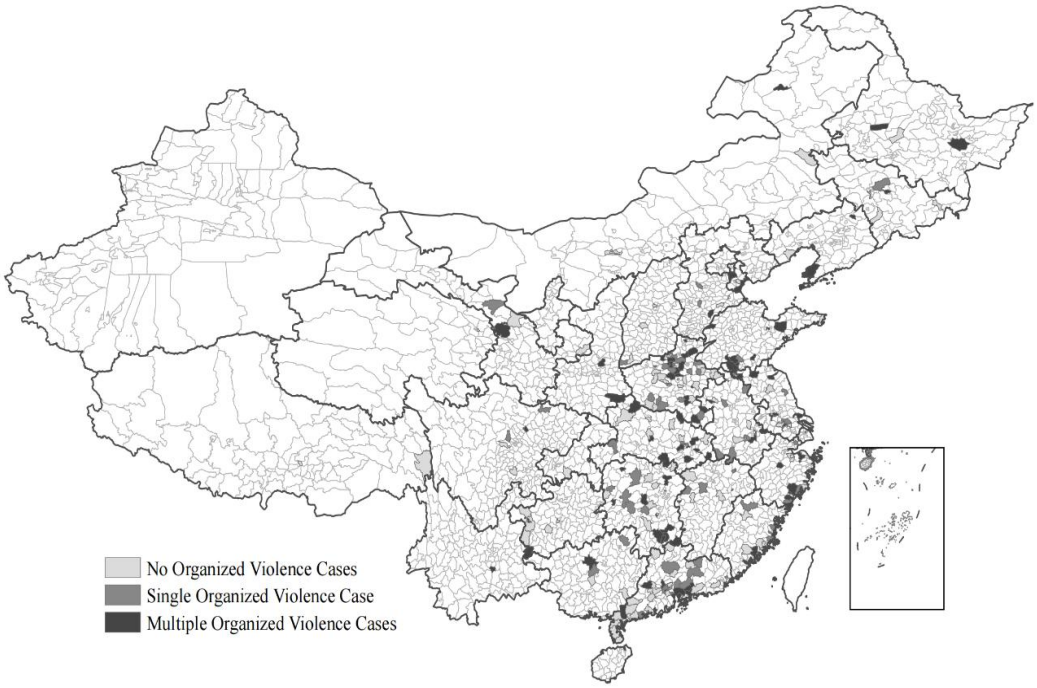
Tables and Figures

Figure 1. The Dynamics of Observed Organized Violence



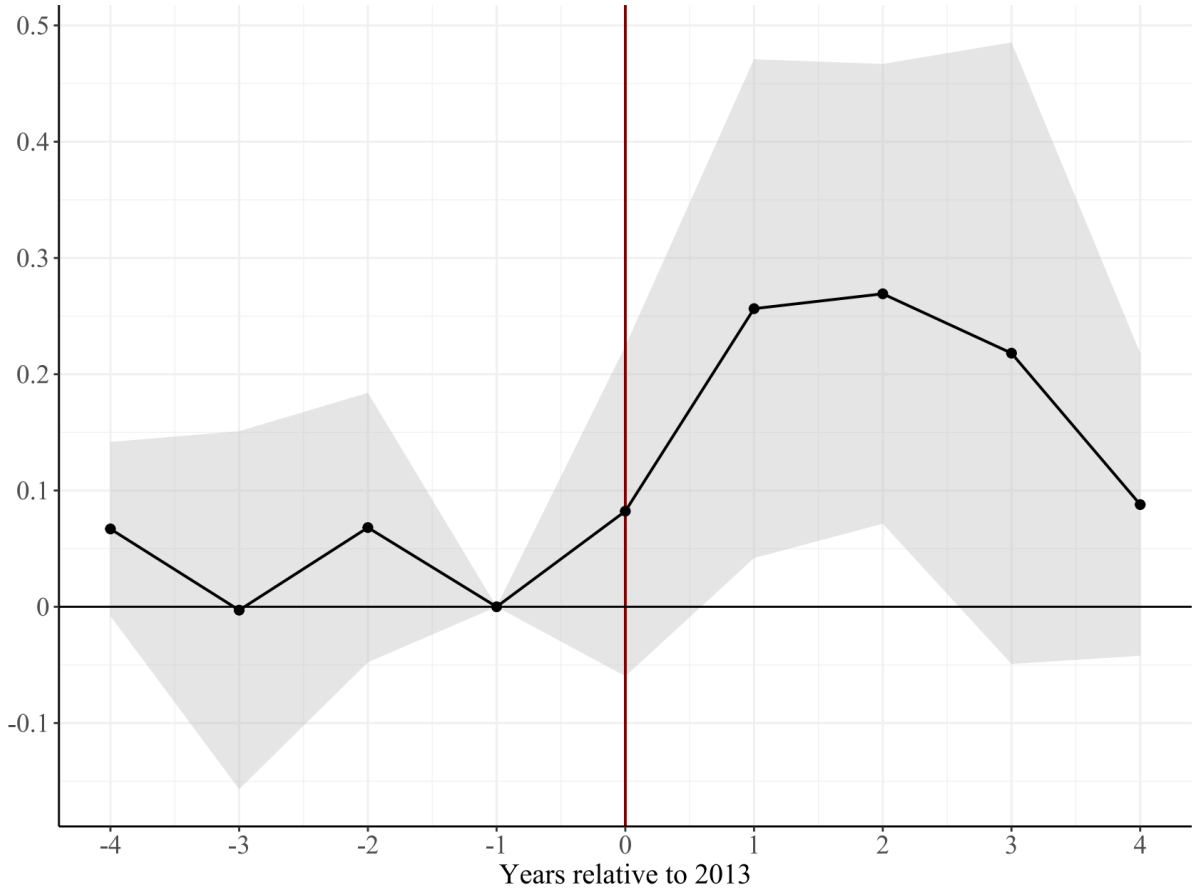
Notes: The left panel shows the distribution of organized violence cases; the right panel shows the number of criminals in organized violence cases. The vertical red line indicates the launch of the anti-corruption campaign.

Figure 2. The Geographic Distribution of Organized Violence



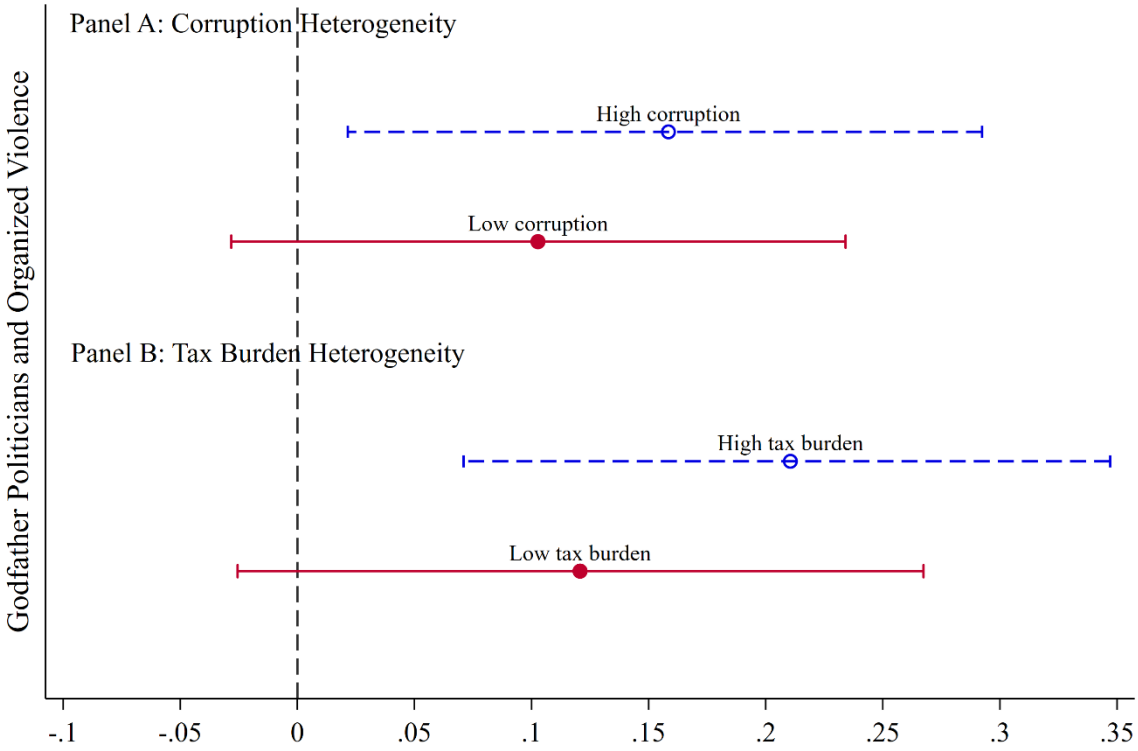
Notes: This figure shows the geographic distribution of organized violence cases. There are no organized violence cases in the light grey areas (control group), single organized violence cases in the dark grey areas, and multiple organized violence cases in the black areas (treatment group).

Figure 3. Godfather Politicians and Organized Violence: Event Study



Notes: The figure reports the estimation results of equation (2). The horizontal axis indicates the year before or after the launch of the anti-corruption campaign, while the vertical red line indicates the campaign launch time, year 2013. We set the one year before as the reference group. The points connected by a solid line indicate the estimated coefficients. The shaded area is the 95% confidence interval.

Figure 4. Regional Heterogeneity in Corruption and Tax Burden



Notes: The figure reports the regional heterogeneity of the impact of the anti-corruption campaign on organized violence. Panel A presents the regional heterogeneity in corruption, and panel B presents the regional heterogeneity in tax burden. The blue dashed line indicates the 95% confidence interval for estimated coefficients in the high-degree group (high corruption and high tax burden), while the red solid line shows the 95% confidence interval for estimated coefficients in the low-degree group (low corruption and low tax burden).

Table 1. Data Sources and Summary Statistics

Variable	Source	Observations	Mean	S.D.
Dependent Variables				
Violence	A	3,813	0.105	0.306
Gambling	A	3,813	0.595	0.491
Property infringement	A	3,813	0.405	0.491
Key Independent Variables				
Collusion	A	3,813	0.067	0.250
Anticorruption	B	3,813	0.175	0.380
Collusion × Anticorruption	C	3,813	0.012	0.110
Control Variables				
GDP per capita (thousand)	D	1,788	13.926	17.149
Population (million)	D	1,933	0.787	0.379
Fiscal expenditure (billion)	D	1,933	1.015	1.321
Other Independent Variables				
Turnover of county PS	E	1,723	0.245	0.430
Turnover of prefectural PS	E	1,995	0.314	0.464
Turnover of provincial PS	E	1,997	0.229	0.421

Sources: A: judicial documents; B: CCDI; C: author's calculation; D: statistical yearbooks; E: CNRDS, *Baidu Baike*, people.com.cn.

Table 2. Godfather Politicians and Organized Violence: Baseline Estimates

	Violence		
	(1)	(2)	(3)
Collusion × Anticorruption	0.150***	0.171***	0.182***
	(0.057)	(0.059)	(0.054)
Collusion	-0.021	-0.017	-0.015
	(0.016)	(0.013)	(0.012)
County FE	YES	YES	YES
Year FE	YES	YES	YES
Prefecture year trend	NO	YES	YES
Province × year FE	NO	NO	YES
Observations	3,793	3,793	3,642
R-squared	0.243	0.295	0.355

Notes: This table reports the estimation results of equation (1). The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 3. Godfather Politicians and Organized Violence: Test Anticipation

	Violence		
	(1)	(2)	(3)
Collusion × Anticorruption	0.128**	0.149**	0.157**
	(0.058)	(0.063)	(0.063)
Collusion × Anticipation	0.029	0.038	0.041
	(0.048)	(0.051)	(0.051)
Collusion	-0.028	-0.030	-0.028
	(0.022)	(0.022)	(0.019)
County FE	YES	YES	YES
Year FE	YES	YES	YES
Prefecture year trend	NO	YES	YES
Province × year FE	NO	NO	YES
Observations	3,793	3,793	3,642
R-squared	0.242	0.292	0.353

Notes: This table reports the estimation results of equation (1). The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. *Anticipation* is an indicator that equals 1 in 2012. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 4. The Effect of Removal of Superior Officials on Organized Violence

	Violence		
	(1)	(2)	(3)
Collusion × Charged province officials	0.133**	0.131*	0.142*
	(0.066)	(0.069)	(0.073)
Collusion	-0.010	-0.001	0.002
	(0.018)	(0.016)	(0.015)
Charged province officials	-0.005	-0.015	
	(0.023)	(0.023)	
County FE	YES	YES	YES
Year FE	YES	YES	YES
Prefecture year trend	NO	YES	YES
Province × year FE	NO	NO	YES
Observations	3,793	3,793	3,642
R-squared	0.242	0.294	0.354

Notes: This table reports the estimation results of the effect of the removal of superior officials on organized violence. The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Charged province officials* indicates the number of officials charged at the province level in natural logarithms, which is probably collinear with the province-year fixed effects. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 5. Godfather Politicians and Organized Violence: Alternate Definitions of Collusion

	Violence		
	(1)	(2)	(3)
Investigated counties × Anticorruption	0.062*	0.062*	0.061**
	(0.038)	(0.037)	(0.031)
Collusion	0.008	0.008	0.009
	(0.018)	(0.018)	(0.018)
County FE	YES	YES	YES
Year FE	YES	YES	YES
Observations	3,793	3,793	3,793
R-squared	0.241	0.241	0.242

Notes: This table reports the estimation results of equation (1) using alternate definitions of collusion. The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. *Investigated counties* in Column 1 indicates counties with investigations on the local police force, and probably collinear with the county fixed effects. *Investigated counties* in Column 2 indicates counties with investigations on both the local police force and procuratorate. *Investigated counties* in Column 3 indicates counties with investigations from all law enforcement departments (police, procuratorate, and court). Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 6. Godfather Politicians and Organized Violence: Adjusting for Measurement Error in Control Group

	Violence		
	(1)	(2)	(3)
Collusion × Anticorruption	0.154***	0.174***	0.187***
	(0.057)	(0.059)	(0.054)
Collusion	-0.022	-0.018	-0.017
	(0.016)	(0.013)	(0.012)
County FE	YES	YES	YES
Year FE	YES	YES	YES
Prefecture year trend	NO	YES	YES
Province × year FE	NO	NO	YES
Observations	3,645	3,645	3,501
R-squared	0.239	0.290	0.353

Notes: This table reports the estimation results of equation (1), adjusting for measurement error in the control group. The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 7. Godfather Politicians and Organized Violence: Additional Controls

	Violence			
	(1)	(2)	(3)	(4)
Collusion × Anticorruption	0.088**	0.093***	0.090***	0.104**
	(0.041)	(0.034)	(0.035)	(0.044)
Collusion	-0.008	-0.023	-0.030	-0.000
	(0.025)	(0.023)	(0.024)	(0.023)
Log(GDP per capita) × Anticorruption	-0.034			-0.083**
	(0.025)			(0.032)
Log(Population) × Anticorruption		0.012		-0.054
		(0.071)		(0.077)
Log(Fiscal expenditure) × Anticorruption			-0.050	0.114*
			(0.033)	(0.065)
County FE	YES	YES	YES	YES
Year FE	YES	YES	YES	YES
Observations	1,786	1,930	1,930	1,786
R-squared	0.241	0.224	0.225	0.242

Notes: This table reports the estimation results of equation (1) using additional controls. The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. *Log(GDP per capita)* indicates the logarithm of GDP per capita, *Log(Population)* indicates the logarithm of population, and *Log(Fiscal expenditure)* indicates the logarithm of fiscal expenditure. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 8. Godfather Politicians and Organized Violence: Measuring Violence

	No. of organized crimes	No. of generic crimes	Major crime violence	Length of documents
	(1)	(2)	(3)	(4)
Collusion × Anticorruption	0.307	-0.041	0.163**	-0.687
	(0.272)	(0.051)	(0.067)	(0.609)
Collusion	2.400***	0.327	-0.012	0.674*
	(0.652)	(0.237)	(0.023)	(0.390)
County FE	YES	YES	YES	YES
Year FE	YES	YES	YES	YES
Observations	2,552	2,552	2,531	270
R-squared	0.769	0.781	0.307	0.631

Notes: This table measures violence with several methods to exclude the effect of reporting bias. The dependent variable in Column 1 is the number of organized crimes in a county. The dependent variable in Column 2 is the number of generic crimes in a county. The dependent variable in Column 3 is a dummy indicating whether the major criminal case has organized violence. The dependent variable in Column 4 is the length of judicial documents. *Collusion* in Column 1 and Column 2 is the number of gangs colluding with local officials in a county before the anti-corruption investigation. *Collusion* in Column 3 and Column 4 is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 9. Godfather Politicians and Organized Violence: Showcase of Authority

	Violence		
	(1)	(2)	(3)
Turnover of county PS	0.000		
	(0.017)		
Turnover of prefectural PS		-0.003	
		(0.015)	
Turnover of provincial PS			0.004
			(0.017)
Collusion	0.065**	0.060*	0.059*
	(0.032)	(0.031)	(0.031)
County FE	YES	YES	YES
Year FE	YES	YES	YES
Observations	1,698	1,972	1,976
R-squared	0.293	0.310	0.308

Notes: This table addresses the effect of showcasing authority. The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Turnover of county PS* is an indicator that equals 1 if a regular political turnover of party secretaries occurs at the county level in that year. *Turnover of prefectural PS* is an indicator that equals 1 if a regular political turnover of party secretaries occurs at the prefectural level in that year. *Turnover of provincial PS* is an indicator that equals 1 if a regular political turnover of party secretaries occurs at the provincial level in that year. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 10. Godfather Politicians and Organized Violence: Government Failures

	Violence	Gambling	Property infringement
	(1)	(2)	(3)
Collusion × Anticorruption	0.150***	-0.163*	-0.186**
	(0.057)	(0.083)	(0.093)
Collusion	-0.021	0.246*	0.532**
	(0.016)	(0.140)	(0.208)
County FE	YES	YES	YES
Year FE	YES	YES	YES
Observations	3,793	3,793	3,793
R-squared	0.243	0.573	0.659

Notes: This table excludes the effect of government failures. The dependent variable in Column 1 is a dummy indicating whether the criminal case has organized violence. The dependent variable in Column 2 is a dummy indicating whether the criminal case involves gambling. The dependent variable in Column 3 is a dummy indicating whether the criminal case involves property infringement. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table 11. Godfather Politicians and Organized Violence: Inter-Gang Skirmishes

	Gang size		
	(1)	(2)	(3)
Collusion × Anticorruption	-0.159	0.039	0.943
	(1.560)	(1.716)	(2.876)
Collusion	7.499**	7.670**	7.303**
	(2.920)	(3.010)	(3.317)
County FE	YES	YES	YES
Year FE	YES	YES	YES
Prefecture year trend	NO	YES	YES
Province × year FE	NO	NO	YES
Observations	3,793	3,793	2,891
R-squared	0.675	0.689	0.619

Notes: This table excludes the effect of inter-gang skirmishes. The dependent variable, *Gang Size*, indicates the number of criminals involved in the organized crime case. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Appendix A: Tables and Figures

Figure A1. Commonly Used Weapons in Gang Fights

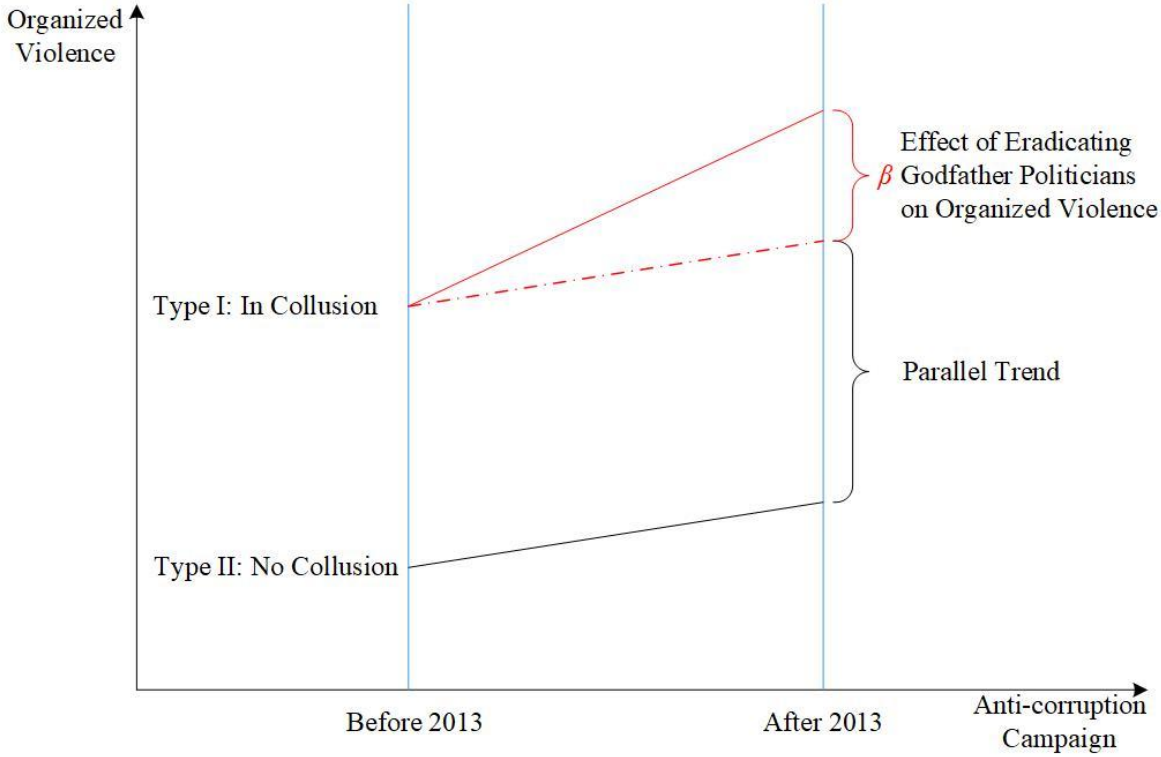
(A) Knives

(B) Axes

(C) Knives, Axes, and Hammers

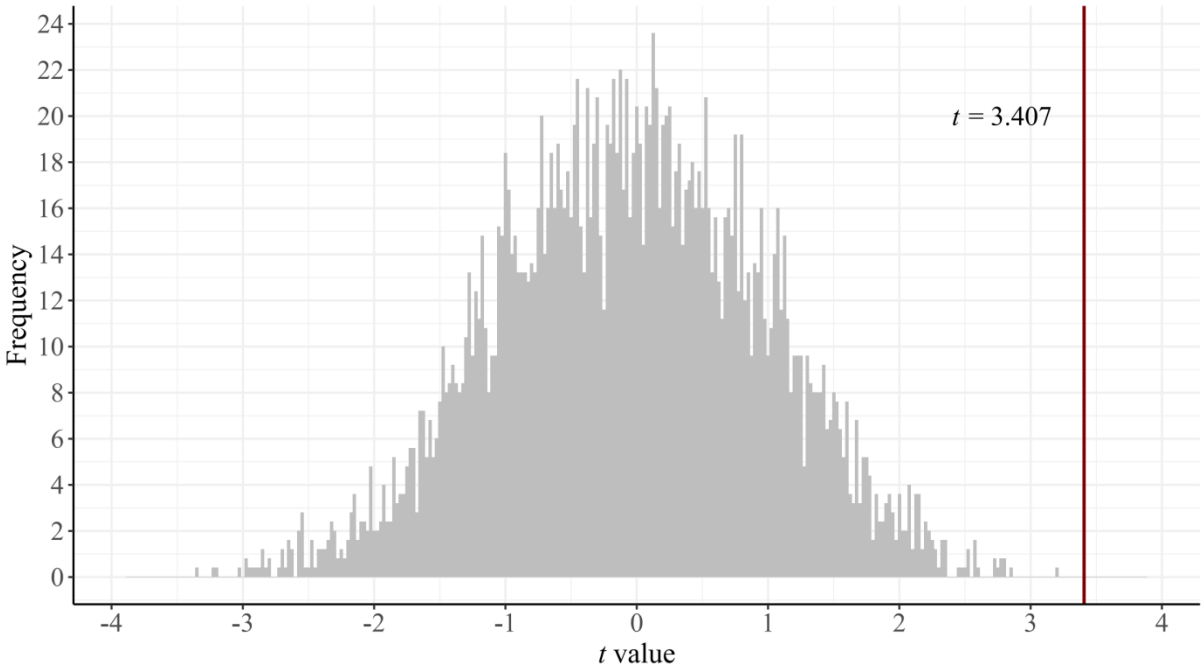
Sources: Panel (A) http://share.dz169.com/wap/thread/view-thread?tid=1800170, Panel (B) and (C) from https://www.sohu.com/a/396801365_687326

Figure A2. Illustration of the Empirical Strategy



Notes: The red solid line compares organized violence of the local officials in collusion and before and after China's anti-corruption campaign began in 2013, and the red dashed line depicts the variation of organized violence if there is no anti-corruption campaign. The solid black line compares the organized violence of local officials who had no collusion before and after the anti-corruption campaign. The gap between the red solid line and the red dashed line is β, the effect of eradicating godfather politicians on organized violence. We also test the parallel trend between the red dashed and black solid lines.

Figure A3. Distribution of *t*-statistics from Randomly Assigned Placebo Tests



Notes: The figure exhibits the t-values of 5,000 randomly assigned placebo tests. In each test, we randomly assign the same number of the actual treated gang as the treated group, and conduct the regression using equation (1).

Table A1. Godfather Politicians and Organized Violence: Regional Heterogeneity

	Violence			
	High corruption	Low corruption	High tax burden	Low tax burden
	(1)	(2)	(3)	(4)
Collusion × Anticorruption	0.158**	0.103	0.211***	0.121
	(0.068)	(0.066)	(0.069)	(0.074)
Collusion	-0.027	-0.035	-0.047	-0.016
	(0.017)	(0.021)	(0.034)	(0.012)
County FE	YES	YES	YES	YES
Year FE	YES	YES	YES	YES
Observations	3,006	789	1,486	2,307
R-squared	0.242	0.183	0.241	0.229

Notes: This table reports the estimation results of equation (1) using subsamples in different regions. Column 1 uses subsamples in regions with high corruption. Column 2 uses subsample in regions with low corruption. Column 3 uses subsamples in regions with high tax burdens. Column 4 uses subsamples in regions with low tax burdens. The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Table A2. Godfather Politicians and Organized Violence: Subsample in Non-Judicial-Reform Areas

	Violence		
	(1)	(2)	(4)
Collusion × Anticorruption	0.196**	0.216***	0.278***
	(0.090)	(0.082)	(0.077)
Collusion	-0.017	-0.006	-0.020
	(0.021)	(0.016)	(0.018)
County FE	YES	YES	YES
Year FE	YES	YES	YES
Prefecture year trend	NO	YES	YES
Province × year FE	NO	NO	YES
Observations	1,385	1,385	1,138
R-squared	0.185	0.219	0.411

Notes: This table reports the estimation results of equation (1) using subsamples in non-judicial-reform areas. The dependent variable, *Violence*, is a dummy indicating whether the criminal case has organized violence. *Collusion* is an indicator that equals 1 if the gang colluded with local officials before the anti-corruption investigation. *Anticorruption* is an indicator that equals 1 after 2013, and is probably collinear with the year fixed effects. Standard errors in parentheses are clustered at the county level. ***p < 0.01, **p < 0.05, *p < 0.1.

Appendix B: Coding Method

This section describes how we code various gangster characteristics. We first describe the data source, *China Judgements Online*. Then, we describe the detailed steps to identify gangster cases and code the relevant variables. We conclude with an illustrative example.

China Judgements Online (https://wenshu.court.gov.cn/) is a government website that publishes all official judicial documents in China from the courts at all levels. As of early 2021, it contained 115 million documents, 9 million of which were related to criminal cases.

Step 1: Download all judicial documents. Our paper focuses on 2013-2017, so we first scrape all judicial documents during this period from this website.

Step 2: Identify gangster cases. We first drop all civil cases and continue with the remaining 3,807,801 criminal cases from 2013 to 2017. Then, we identify gang-related cases using a computer program to look for the keywords "organized crime" (*youzuzhi fanzui*) or "gangster" (*heishehui*), the two most common terms used to describe such cases. We end up with 3,813 cases. After manually checking whether these cases are really gangster related,[43] we obtain our final sample of 456 gangster cases.

Step 3: Extract information from gangster cases. We extract various characteristics of gangsters by manually examining the 456 judicial documents. These characteristics include: (1) the date and location of the case, (2) the nature of the case, (3) gangster activities, i.e., gang fights, property infringement, or gambling. Appendix Figure B1 shows an example of how we extract this information.

[43] Some cases that mention "gangs" may not be gangster related. For instance, in some personal assault cases, the criminal intimated the victim by falsely claiming, "I am with the gang." We manually exclude these cases.

Figure B1. An Example of the Judicial Document

2020年1月13日 星期一

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中国裁判文书网
China Judgements Online

目录

廖伟军组织、领导、参加黑社会性质组织罪、聚众斗殴罪等一审刑事判决书

发布日期：2017-11-13　　浏览：1845次

湖南省汝城县人民法院
刑 事 判 决 书

（2017）湘1026刑初75号

公诉机关湖南省汝城县人民检察院。

被告人廖伟军，因涉嫌参加黑社会性质组织罪、聚众斗殴罪、寻衅滋事罪、强迫交易罪，于2017年6月1日被汝城县公安局监视居住，7月25日经汝城县人民检察院决定被执行取保候审，10月13日经本院决定被执行取保候审。10月26日经本院决定被执行逮捕。现羁押于汝城县看守所。

辩护人朱永源，湖南为仝律师事务所律师。

湖南省汝城县人民检察院以湘汝检公诉刑诉（2017）68号起诉书指控被告人廖伟军犯参加黑社会性质组织罪、聚众斗殴罪、寻衅滋事罪、强迫交易罪于2017年10月13日向本院提起公诉，本院同日受理。本院依法组成合议庭，适用普通程序，公开开庭进行了审理。汝城县人民检察院指派检察员彭浩出庭支持公诉。被告人廖伟军及辩护人朱永源到庭参加诉讼。本案现已审理终结。

公诉机关指控：

一、参加黑社会性质组织罪

自1997年至2000年间，同案人欧某3（已判刑）纠集骨干成员曹某1等十余人（已判刑）以及吴某2、廖伟军等十余名下线成员，形成以欧某3为首的黑社会性质组织。该组织分工明确、组织严密，通过开设赌场、收保护费、垄断客运市场等获得非法利润二百余万元；该组织实施各种违法犯罪活动，严重破坏了汝城县的社会、经济秩序和人民群众的生活秩序；为了不被司法机关查处，**该组织还用非法手段腐蚀、拉拢原中共汝城县委常委、政法委书记朱某8（已判刑），原三江口开发区党委书记、管委会主任谭某2（已判刑）为其提供非法保护。**

二、聚众斗殴罪

1998年，于某的妻弟何某9被津江帮的人砍伤，于某得知后便找到曹某1、欧某4等人帮忙报仇。曹某1、欧某4向欧某3请示，欧某3同意帮忙。1998年12月27日晚，同案人曹某1、欧某4、于某等人与被告人廖伟军携带凶器来到汝城县永吉祥酒楼，殴打朱某1、欧某1、朱荣强等人，并将朱某1砍伤。经鉴定，朱某1的损伤程度为轻伤。

1999年5月25日晚，被告人廖伟军和何某10在永吉祥酒楼的歌舞厅与朱某1等十余人发生争吵。接着，被告人廖伟军找到曹某1让其帮忙报仇。之后，曹某1拿着猎枪，纠集黄某3等人各持砍刀与廖伟军、何某10来到永吉祥酒楼的歌舞厅，并与朱某1等人斗殴。**斗殴过程中，曹某1持猎枪朝天上开了一枪**，之后猎枪被夺走。不久，公安机关在接警后赶到现场，阻止了事态进一步扩大。当晚的斗殴，双方均有多人受伤。

概要

基本信息

审理法院：湖南省汝城县人民法院

案件类型：刑事案件

案由：组织、领导、参加黑社会性质组织罪　聚众斗殴罪　寻衅滋事罪　强迫交易罪

审理程序：刑事一审

裁判日期：2017-10-26

当事人：廖伟军

法律依据

《中华人民共和国刑法（1997年）》

第二百二十六条第一款第二项
第二百二十八条第一款第四项
第二百六十二条第一款第四项
第二百九十三条第一款第一项
第二百九十四条第四款
第五十二条
第二十五条第一款
第二十六条第一款
第二十六条第四款
第二十七条第一款
第二十七条第二款
第六十七条第一款
第六十八条
第六十九条第一款
第六十九条第二款

《中华人民共和国刑事诉讼法（2012年）》

Case Number

Nature of the Case: Whether it involves gangsters

Organize, lead, or participate in mafia activities

Dependent Variable: Violence

Gang fights

Independent Variable: Collusion

The gang uses illegal means to corrupt and collude Mr. Zhu (Indicted), former Standing Committee member and Secretary of Political and Legislative Affairs of Rucheng County, Hunan. Mr. Tan (Indicted), former Party Secretary of Sanjiangkou Development Zone, provided illegal patronage for the gang.

Gang Activities

During the gang fight, Mr. Cao shot the sky with his rifle.

Appendix C: Proofs

Proof of Lemma 1.

PROOF. With no commitment constraints, the two gangs may attempt to resolve the conflict through negotiations for a payoff pair, $(yR, (1-y)R)$, where any payoff pair that Pareto dominates the outside option is preferred by both gangs. Since the negotiation has no conflict losses or risk of discovery, $R > (1-q)(R-2K)$, a peaceful deal under the shadow of violence is always possible.

Suppose the peaceful negotiation payoff is $(y^*R, (1-y^*)R)$, and Gang A keeps the asset by paying Gang B $y^*R \geq \underline{U_B}$. Such transfer is impossible if the commitment constraint of Gang A satisfies: $M < y^*R$. Similarly, if Gang A hands over the asset by receiving payment $(1-y^*)R \geq \underline{U_A}$ from Gang B in the peaceful negotiation, such a transfer cannot take place if $M < (1-y^*)R$. Combining the two cases, when $M < \overline{R} = min\{\underline{U_A}, \underline{U_B}\}$, gangs cannot complete the transfer in peaceful negotiations and must thus resolve the conflict violently. Q.E.D.

Proof of Proposition 1.

PROOF. In a self-enforcing arbitration, every participant is incentive compatible to honor the contract. We start with Gang B, which does not possess the asset and may challenge Gang A for ownership. In the contract, the arbitrator fairly acknowledges and protects the ownership of Gang A. Facing the power of the state, Gang B has an easy decision: any challenge leads to repression from the arbitrator, which generates a payoff of $-K$ for the costs of conflicts. Consequently, Gang B chooses to honor the arbitration and stay put, receiving a payoff of 0.

Next, we check the participating incentives for Gang A. In the contract, Gang A pays a bribe r for the godfather's protection, thus receiving a payoff of $(1-p)R - r$. Here, the detection probability p highlights the illegal nature of handling the asset. To honor the contract, Gang A gains more from the godfather's arbitration than gang fights. That is:

$$(1-p)R - r \geq \underline{U_A} \qquad (1)$$

Lastly, we check the incentives of the local godfather politician. To honor the arbitration contract, the politician must gain more from arbitration than from preying on the asset itself. That is,

$$(1-p)r - \beta K \geq (1-p)\alpha R - \beta K \qquad (2)$$

Moreover, for the politician, shirking is too costly for his or her political career when the resulting organized violence (due to a lack of arbitrators) is discovered by the superior government. That is,

$$(1-p)r - \beta K \geq (1-p)(1-q)r - qV \qquad (3)$$

The no-preying condition gives:

$$\alpha \leq \frac{r}{R}, \qquad (4)$$

which holds when the efficiency of exploitation is low. Moreover, the no-violence condition gives:

$$r \geq \frac{\beta K - qV}{(1-p)q} \qquad (5).$$

In the contract, the local official maximizes the rent received, r, subject to all the above conditions. Consequently, when all other constraints are met, the optimal rent ensures that Gang A's incentive compatibility constraint is binding. That is, the optimal rent $r^* = (1-p)R - \underline{U}_A$. Lastly, to construct the self-enforcing contract, plug back the optimal rent and combine (4) and (5) to get: $[1-p-(1-q)x]R + K \geq max\{\alpha R, \frac{\beta K - qV}{(1-p)q}\}$. Q.E.D.

Proof of Proposition 2.

PROOF. We compare the feasibility of the arbitrator contract to the standard organized violence resolutions, where the local official is not corrupt and strives to crack down on any illegal activities. In particular, the arbitrator contract is more lenient on liquidity when the asset for exploitation is more valuable, making a higher rent possible. When $M < r^*$, even the arbitrator contract is not feasible, and the region experiences violence. When $r^* \leq M < \overline{R}$, only the arbitrator contract is feasible, and peace is achieved. When $\overline{R} < M$, both contracts are feasible, and A should compare and decide.

When both contracts are feasible, the arbitrator contract can satisfy A's incentive compatibility constraint as long as its two "promise-keeping" constraints are satisfied: $\alpha \leq \frac{r^*}{R}$ and $r \geq \frac{\beta K - qV}{(1-p)q}$. And the second constraint is slack when $V \geq \frac{\beta K}{q}$. Q.E.D.